

Interim Evaluation of the Immigrant Investor Programme ('IIP')

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Disclaimer

The IGEES unit of the Department of Justice and Equality has prepared this interim evaluation. The views presented in this paper are those of the authors alone and do not represent the official views of the Department of Justice and Equality or the Minister for Justice and Equality. Analytical papers are prepared on an ongoing basis and reflect the data available at the time. Please do not cite without permission. This analysis of the IIP is based on figures provided by INIS.



Irish Government Economic & Evaluation Service

Management Summary

Introduction

The IGEES unit of the Department of Justice and Equality have been tasked with carrying out an interim economic assessment of the Immigrant Investor Programme ('IIP').

This review does not intend to be conclusive and it is important that the programme is monitored and reviewed on a regular basis. This review is also not intended to give a conclusive view of every aspect of the IIP. Some operational aspects of the programme are outside the scope of this review. It is important to note that the IIP is relatively new in comparison to other international schemes. This report examines how the programme has performed since 2012 and how and to what extent it contributes to the Irish economy.

Rationale for the Programme

The IIP uses the immigration system to incentivise foreign investment into Ireland. Similar programmes exist in other jurisdictions. The key benefit for many investors under the IIP is the prospect of the option of residency rights in Ireland¹. The benefit to the Irish economy is the investment made by the applicant combined with the possible economic activity of the applicant if resident in Ireland.

International Comparison

The IIP shares many features of comparable international schemes. These schemes have different features in terms of the type of immigration permission given, the level of investment required and other requirements. Some schemes offer full permanent residency as part of their investment visa programs, whereas others only grant conditional residency while some offer full citizenship. Many of these schemes have been operational for a considerable period with many running for multiple decades at this point.

Performance of the IIP

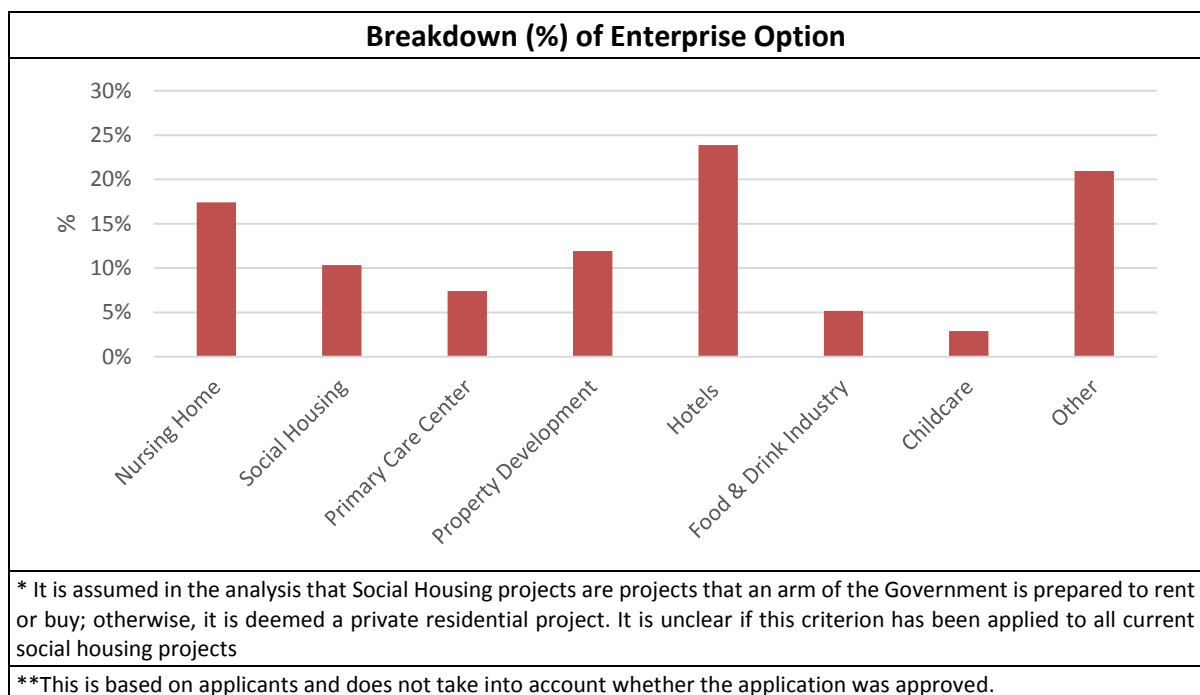
The initial take-up of the IIP was very low but this take-up has increased considerably in recent years, especially since the second half of 2016. The levels of approved investment associated with the total number of applications are shown below. The Enterprise Option represents nearly 80% of all applications.

Total Number of applications and associated approved investment

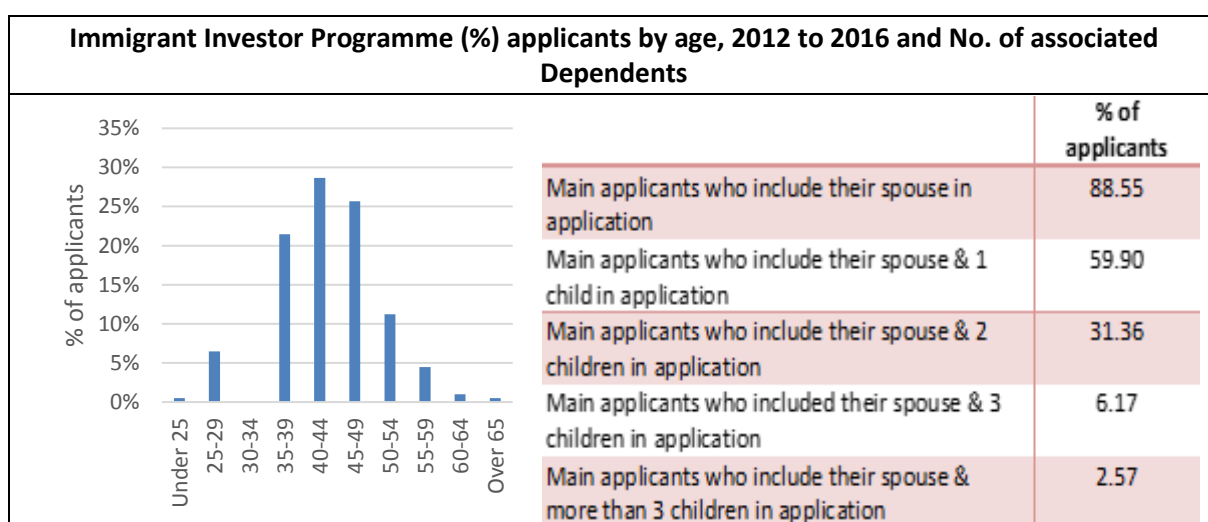
Application Year	No. of Applications	Total Approved Investment (€m)
2012	5	€2,500,000
2013	20	€12,650,000
2014	33	€13,950,000
2015	66	€36,250,000
2016	329	€144,300,000
**Application refer to date of application but in some cases, approvals may take place in the following year. Thus, there may be some overlap		

¹ <http://www.inis.gov.ie/en/INIS/imm-inv-prog-funding-guide-dec2016.pdf/Files/imm-inv-prog-funding-guide-dec2016.pdf>

To examine the economic impact of the programme and its associated investment it is important to consider the type of investment being proposed. The IIP investments have regional and sectoral characteristics that are important to consider. The current proposed investments have a wide regional dimension. The areas of investment are also quite varied and significant investment has been proposed for Nursing Homes, Social Housing and Hotels.



The profile of the investors indicates that each applicant has an average of two dependents (one spouse and one child). Nearly 90% of main applicants who apply include their spouse in the application. Around 60% of applicants include their spouse and one child on their application form. This drops to 32% and 6% for applicants who include their spouse along with two and three children respectively. The vast majority of applicants are aged between 35 and 49.



As part of this interim evaluation, we undertook a short survey of the agents of programme beneficiaries. The principle reason for the questionnaire was to get an insight into participating agents' views on the programme and the extent to which the investment have taken place without the IIP.

Our survey responses show a broad mix of opinions on the structure of the IIP. The majority of the current agents are dissatisfied with aspects of the current programme and have made a number of suggestions regarding its future. It is likely that the significant delays in processing times due to the rapid increase in the number of applications has played a big part in this.

However, all agents have indicated that the IIP plays a crucial role in the supporting of projects that would not be able to acquire finance without it and see a clear value in the continuation of the programme.

Economic Impact of the Programme

The various options available in the IIP are likely to have very different economic benefits. Each option offers the same benefit to the applicant albeit at a different cost. The table below offers some high-level observations on the economic benefits associated with each option.

Summary of IIP options and approved Gross Investments (2012-2016)

Type	Total Amount (€)	High-Level analysis of current benefit to Economy
Enterprise	€138m	Likely Economic Benefit but difficult to quantify the exact amount; likely to have the highest risk to investor
Endowment	€5m	Largest Economic Benefit; significant cost to investor
Investment Bond	€14m	Very little economic benefit; low risk; money tied up
Investment Fund	€17.5m	Possible Economic Benefit but difficult to quantify the exact amount; likely to have lower risk than enterprise option
Mixed Investment	€35.15m	Minimal or Possibly negative economic benefit; low risk; investment in property unlikely to best use of foreign investment
A very small percentage, less than 1%, of approved investments were subsequently withdrawn.		

A key objective of the IIP at its inception was the creation and supporting of employment. It is very difficult to estimate the exact number of jobs potentially supported by the programme and the estimates shown below should be considered as upper bound estimates. Significant issues like the nature of the labour market and the amount of investment that would have occurred without the programme are likely to significantly reduce the number of jobs supported and created by the programme.

Summary of Potential Gross Employment Impacts (2012-2016)

Construction Employment (Job years)	Sustained Employment
1,619	1,106
Note: These employment impacts should be adjusted to reflect the current nature of the labour. In an economy with full employment and fixed labour supply, then the employment benefits of any investment will be zero as employees simply switch jobs and there is no additional employment. Only higher-value jobs create additionality.	

Overall Conclusions and Possible Recommendations

Overall, the programme appears to be achieving its key objectives and its popularity has grown considerably in recent times. The approval rate of applications has also been very high throughout the lifetime of the programme although this approval rate declined in 2016. On early evidence for 2017, it appears that the price increase has had limited impact on the level of demand. However, much of this could be related to high levels of activity in late 2016. Our initial evaluation indicates that there are likely to be economic benefits associated with the programme. These benefits are likely to significantly outweigh the economic costs involved with the programme. At the moment, the costs involved with the scheme are relatively small. However, these costs are reflective of a much smaller programme (in terms of applicants) prior to 2016.

Some possible recommendations aimed at improving the programme are outlined below.

Proposed Recommendations for the Immigrant Investor Programme
1. Review the current objectives of the programme and consider the likely trade-off between employment and economic value added and between economic impact and immigration permissions. 2. Consult with key stakeholders regularly regarding investment priorities. It is possible that other Departments will already have key investment priorities in these areas and these should be considered for the IIP. It is important that a 'Whole-of-Government' approach is adopted and any supported investment is consistent with existing Government priorities and cognisant of other investment funds. 3. Establish evaluation criteria to help inform the decisions of the evaluation committee in consultation with the key stakeholders. 4. Consider the data collection associated with the operation of the scheme and how the impacts of each investment are tracked. Similarly, a process should be put in place to look at when and how approved applicants avail of residency permissions and other benefits. Trends should be monitored on an ongoing basis. These data collection improvements will enable a more robust economic assessment and an ex-post evaluation of the impacts of the programme in future years. Governance procedures should also be monitored on an ongoing basis. 5. Examine the current level of resources for the operation of the programme and assess if they are sufficient to meet the demands of the programmes. If the programme is considered beneficial, then it should be encouraged. Resources should be used to improve efficiencies in the length of the approval process and the length involved for the transfer of the investment. 6. Consideration of the outsourcing of certain functions in relation to validation of business plans. Certain elements of the process will require specialist skills that may not be available to the evaluation committee. 7. Review the definition of Enterprise for the purposes of the Enterprise Option. This option seems to be more related to infrastructure development rather than Enterprise support. This may have implications for the pricing and risk structure of the programme. 8. Due to the significant volatility caused by recent international events, there is a necessity that this programme is formally evaluated on an annual basis.

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1 Introduction

1.1 Scope of Interim evaluation

The IGEES unit of the Department of Justice and Equality have been tasked with carrying out an interim economic assessment of the Immigrant Investor Programme ('IIP'). This is a relatively high-level review of the IPP that aims to look at the performance to-date of the program, examine how it contributes to the economy and looks at the possible future development of the programme. The IIP is still a relatively young program by international standards.

This review does not intend to be conclusive on all aspects of the programme and it is important that the programme is monitored and reviewed on a regular basis. Some operational aspects of the programme are outside the scope of this review and we acknowledge that these aspects may be very important to the future success of the programme. This interim evaluation is based on data available up to the end of March 2017.

1.2 Structure of the Report

In order to examine the effectiveness of the Immigrant Investor Programme, it is necessary to have a clear understanding of whether the programme, as currently constituted, delivers significant economic benefit for the Irish economy.

We provide background and contextual information for the Immigrant Investor Programme, including analysis of the characteristics of those who are granted residency permissions. Thereafter we focus on the possible economic contribution of these investors, covering their type of investment and potential contribution to the exchequer.

1.3 Overview of current Programme

The purpose of the Immigrant Investor Programme ('IIP') is to enable non-EEA nationals and their families who commit to an approved investment to be given residency permissions to live and work in Ireland. The program was introduced in 2012 and has been in operation for around 5 years.

The programme was established to stimulate productive investment in Ireland and to offer residency with its associated advantages to business professionals with a proven record of success and significant net worth. The ultimate objective of this programme is job creation and facilitating further Irish economic development through increased foreign direct investment (FDI).

Successful applicants receive a residency permission for 5 years. An initial permission will be granted for two years and following a review at that point to ensure the investor is continuing to meet the conditions of the scheme, a further period of 3 years will be granted. After this initial 5-year period, the investor will be free to apply for residence in 5-year tranches. No minimum residency requirement is set other than the stipulation that the persons concerned should visit Ireland at least once per calendar year². The current IIP options are described in Table 1.1. The six options have very

² <http://www.inis.gov.ie/en/INIS/Pages/New%20Programmes%20for%20Investors%20and%20Entrepreneurs>

different levels of popularity with the enterprise investment option being the most popular. It is also likely that the benefits of each programme option differ significantly to the Irish economy.

Table 1.1: Current options under the Immigrant Investor Programme

Option	Investment Terms
Immigrant Investor Bond	€1million invested in the bond at 0% interest rate – currently suspended
Enterprise investment	€500,000 invested in an Irish Enterprise for minimum of 3 years (In 2017, the amount required is now €1 million)
Investment Funds	€500,000 invested in an approved fund. Fund must be approved and regulated by the Central Bank. (In 2017, the amount required is now €1 million)
Real Estate Investment Trusts	A minimum investment of €2 million in any Irish REIT that is listed on the Irish Stock Exchange.
Mixed investment	Investment in a residential property of minimum value of €450,000 and a straight investment of €500,000 into the immigrant investor bond, giving a minimum investment of €950,000. – currently suspended
Endowment	€500,000 philanthropic donation by an individual (€400,000 where 5 or more individuals pool their endowment for one appropriate project).
Source: IIP Guidelines (published 2016)³	

The following changes to the IIP will apply from 2017. The changes, which are set out below, are to take immediate effect.

- Enterprise Investment - €1.0m invested in an Irish enterprise for a minimum of 3 years (risen from previous amount of €0.5 million)
- Enterprise Investment Fund - €1.0m invested in an approved fund for a minimum of 3 years
- The application fee will increase to €1,500 per application (up from the previous amount of €750)⁴.

Typically, potential investors use agents to apply to the IIP. The evaluation committee then examines these applications. These agents are typically based in Ireland but have international experience and connections. The evaluation committee is made up of 12 members from DoJE, DoF, IDA, Enterprise Ireland, DFA, and DJEI. They meet around 4-5 times per year and make recommendations on each application to the Minister for Justice and Equality.

1.4 Previous Reviews of the scheme

A review of the programme was carried out in 2013 by the appointed Evaluation Committee. Prior to this review, there had been very low take up in the scheme. In 2012, there were only five applications, which provided one of the main reasons for the initial review.

A number of changes resulted following this review. One of the main changes in the programme was to reduce the amounts of investment required for eligibility in the programme. The reason for

3 <http://www.inis.gov.ie/en/INIS/imm-inv-prog-guide-dec2016.pdf/Files/imm-inv-prog-guide-dec2016.pdf>

4 <http://www.inis.gov.ie/en/INIS/imm-inv-prog-guide-dec2016.pdf/Files/imm-inv-prog-guide-dec2016.pdf>

this was based on an appreciation that at the time, given how relatively new the Irish programme was, it was not sufficiently competitive with other market offerings. Also in 2012, Ireland had yet to emerge from the economic crisis and the need to create jobs was the key government policy priority. The IIP was part of the wider government objective on job creation and was written as part of the government's Action Plan for Jobs.

The Evaluation Committee carried out a second review in 2016. A number of changes were proposed. These changes included removing the investor bond and mixed investment options.

This review attempts to complement previous reviews by looking at the programme from a wider focus and examining how it supports the economy and how it fits with other forms of investment available.

2 Objectives of the programme

2.1 Rationale for the programme

The IIP has a number of common features with comparable programmes in other jurisdictions. The IIP uses the immigration system to incentivise foreign investment into Ireland. The key benefit for many investors under the IIP is the prospect of the option of residency rights in Ireland⁵. One feature of the Irish programme is that there is no minimum number of days that an approved applicant has to reside in Ireland⁶. Thus, the residence permission is an option rather than an obligation. It must be noted that the IIP only forms one policy response towards promoting business migration and investment.

2.2 Programme Logic Model

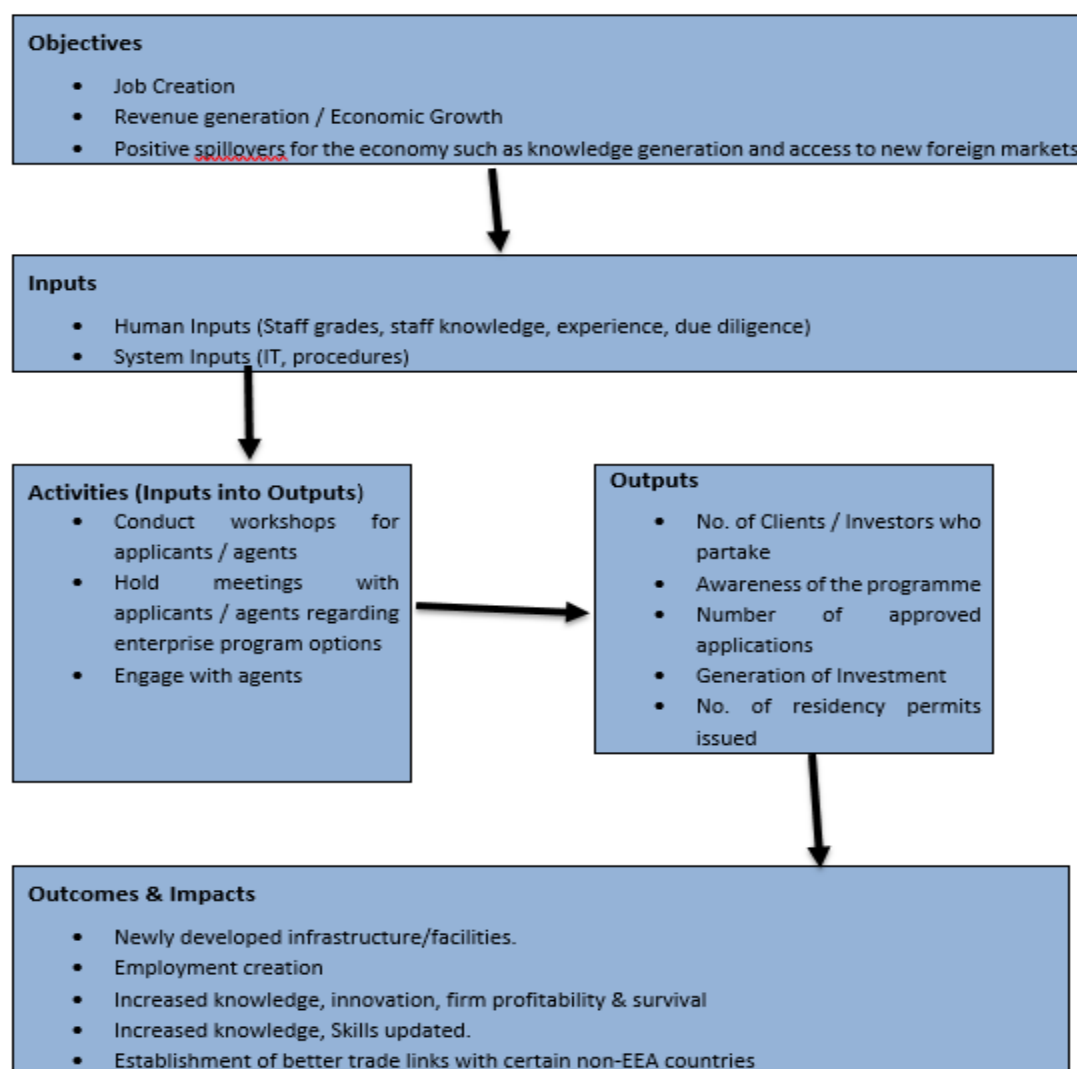
A Programme Logic Model ('PLM') is a useful evaluation tool to examine how programmes operate and how inputs lead to outputs, outcomes and impacts and ultimately how initial objectives are achieved. A high-level PLM for the Enterprise Option⁷ of the IIP is shown in Figure 2.1.

⁵ <http://www.inis.gov.ie/en/INIS/imm-inv-prog-funding-guide-dec2016.pdf/Files/imm-inv-prog-funding-guide-dec2016.pdf>

⁶ The minimum level is actually 1 day per year. This minimum level of residency means that these investors would never qualify for citizenship

⁷ The Enterprise Option is the largest option and appears to have similarities with the Investment Fund option

Figure 2.1: Programme Logic Model for Enterprise/Investment Fund option



2.3 International Comparisons

The IIP shares many features of comparable international schemes. A significant number of countries have very similar programmes that offer some kind of improved immigration permission in return for foreign direct investment. These schemes have different features in terms of the type of immigration permission given, the level of investment required and other requirements. A high-level summary of each of the different comparable schemes are shown in the Table 2.1 below.

Some of the key points from international experience are as follows:

- Some schemes offer full permanent residency as part of their investment visa programs, whereas others only grant conditional residency while some offer full citizenship.
- The UK requires a minimum investment of £2m, which is not to be invested in companies involved in property.
- Applicants of the US EB-5 Visa program must invest USD \$0.5-1 million depending on the location of the business. The second most important requirement of the scheme is that the investment must create at least ten full-time jobs.

- Portugal's Golden Visa is one of the most popular residency by investment solutions in the EU. This programme was launched in 2012 (the same year as the IIP) but has previously been suspended due to irregularities.
- An individual can invest up to \$15m in Australia's premium visa scheme and this visa plan guarantees that people who invest this large amount can obtain the Australian permanent residency permit in twelve months.

Table 2.1: Review of Comparable International schemes

Location	Title of Scheme	Investment Criteria	Immigration Permission Conditions	Family Reunification	Eligibility Criteria and Exclusions	Application Costs	Applicant Categories
UK	Tier 1 Investor Visa	Minimum £2,000,000 investment funds (not to be invested in companies involved in property).	Residence Permission for maximum of 3 years and 4 months, extendable for a further 2 years. Applications to settle may be made after 3 years on investment of £5 million or after 2 years on investment of £10 million. Launched in 2008.	Family Reunification of dependant family members (spouse, children under 18).	£2m must be applicant's own or belong to their spouse/partner	Application fees of £1,530 per person and per family dependant.	Applications are generally made outside the UK.
Canada	Quebec Immigrant Investor Programme	Interest free investment of \$800,000 for a period of five years	Programme has been in operation since the 1980's.		A personal net worth of at least 1.6m Canadian Dollars	Processing fee of CAD \$15,000 (although fees of up to CAD\$150,000 might also arise for immigration agent fees)	Applications are processed through third party intermediaries.
Netherlands	Foreign Investor	Invest at least €1,250,000	1 year initially, renewable. Work without work permit permitted.	Not specified	You must deposit the amount into a bank account of a Dutch bank or a bank of an EU Member.	Fees apply. Not specified.	Inside/outside NL. Change of Status possible
Australia	Investor Visa Significant Investor Visa Premium Investor Visa	Investor \$1.5m Significant Investor \$5m Premium Investor \$15m	Temporary visa – first stage in applying for permanent business investor visa	Yes	Applicants can only apply if/when nominated by a state or territory government or Austrade on behalf of the Australian government.	Investor Visa \$4780 (applicant) \$2390 (family over 18yrs) Significant Investor Visa \$7010 (applicant) \$3505 (family over 18yrs) Premium Investor Visa \$8410 (applicant), \$4205 (family over 18yrs)	



New Zealand	Investor visas	Investor Plus: NZ\$10m invested in NZ for three years Investor: NZ\$1.5m invested in NZ for four years	Investor must spend 146 days in NZ in each of the last three years of the four-year investment period Investor Plus must spend 44 days in NZ in each of the last two years of the three-year investment period	Yes	Evidence that investment and settlement funds and/or assets are owned by you or jointly by you and your partner and/or dependent children.		
Portugal	Golden Visa Programme	Property Investments: Acquisition of property above €500,000. Capital Investments: Transfer of Funds above € 1,000,000. Creation of a minimum of 10 jobs.	1-year permission, renewable for 2 and then a further 2. Permanent Residency after 5 years. Eligible to apply for Citizenship after 6 years. Actual residency requirements – 7 days in first year and 14 days in each subsequent period of two years.	Yes	Criteria differ between the various investment options. Property investments are by far the most popular and require the applicant to: Provide criminal record certificate(s)	€514.80 plus €80.20 per family member Initial Golden Visa €5,147.80 Initial Golden Visa for Family members €5,147.80 Renewal of Golden Visa €2,573.90	
US	Green Card Through Investment	Invest \$1,000,000, or at least \$500,000 in a targeted employment area (high unemployment or rural area)	Programme has been in operation since 1990's	Spouse and unmarried children under the age of 21, (known as derivatives) may be included on your immigration petition.			
France	French Residence Permit Program	Euro 10 million	No requirements regarding prior residency, residency in France, language skills, or special professional experience	Residency status is valid for the next 10 years and your dependents will be issued a French visa under your visa applications without any additional investments.			



Malta	Malta Individual Investor Programme. Capped at 1,800 participants.	Principle: Main applicant - €650,000 ; Spouse - €25,000 ; Minor children - €25,000 each; Children 18-26 (unmarried) - €50,000 each; Dependent parents & grandparents - €50,000 each	Citizenship after 12 months residency (however, actual residence after an initial visit is not required and can be fulfilled by buying/leasing a property and fulfilling other criteria. Scheme operational since 2014	Family members are included, subject to contributions to the National Development and Social Fund.	Non-refundable contribution to the National Development and Social Fund and €150,000 investment. Reside in Malta for a minimum time period of five years, either buying a property in Malta for at least €350,000 and maintaining ownership for 5+ years	Principal applicant - €7,500; Spouse - €5,000; Minor dependents (aged 0-12) - no fee; Minor dependents (aged 13-17) - €3,000 each; Adult dependents - €5,000 each	
Cyprus	Scheme for Naturalization of Investors in Cyprus by Exception	Investment in government bonds (min €5m) Investment	Fast-track to citizenship	Yes	The applicant must hold a permanent privately-owned residence in the Republic of Cyprus, the purchase price of which must be at least €500.000, plus V.A.T		

2.3.1 Activity compared to other jurisdictions

There are currently many different investment immigration programs offered by countries around the world, all of which offer their own unique benefits. These programs aim to increase a country's foreign direct investment levels by offering incentives to those willing to make sizeable investments. The requirements of these immigrant investment programs and the residency status that is granted to investors differ from country to country. Some countries grant full permanent residency as part of their investment visa programs, whereas others only grant conditional residency while some offer full citizenship as in the case of Malta and Cyprus.

Some of the more popular international residency for investment programs include those offered by the United States, Canada and Australia. These countries have different solutions for different kind of investors with different processes. At a European level, Hungary (Hungarian Residency Bonds Program) and Portugal (Portuguese Golden Visa Program) have created the most popular schemes. The Hungarian government announced that the residency bond program would be indefinitely suspended effective from April 2017. The Portuguese Golden Visa Program has been previously suspended and although it was restarted, it has encountered significant delays.

Table 2.2 takes programs from four other jurisdictions and lists the activity of each of the schemes from 2012 to 2016. It is very hard to get a complete set of statistics for each jurisdiction as in some cases programmes were suspended and in others, programmes were restarted with modifications. This occurred with the Portuguese Golden Visa when the government temporarily postponed the programme in mid-2015 while they put new procedures and rules in place to avoid a repeat of visa issuing fraud. Figures published by the UK Home Office in 2015 revealed that the number of people applying for Tier 1 investor program has dropped by approximately 82% from 2014 to 2015. One reason for this could be the increase in the investment required for the Tier 1 investment option from £1m to £2m in November 2014. The 2014 peak in applications was partly driven by more than 510 applications received in the final quarter of 2014, almost four times the number received in the first nine months of the year due to the impending increase in investment required.

Both the UK (Tier 1) and USA (EB-5) programs will come under further analysis in the near future. In the case of the UK (Tier1) program, this is to allow for analysis of the impact of Brexit. In the case of the EB-5 visa, the program is due for renewal by Congress at the end of April 2017.⁸

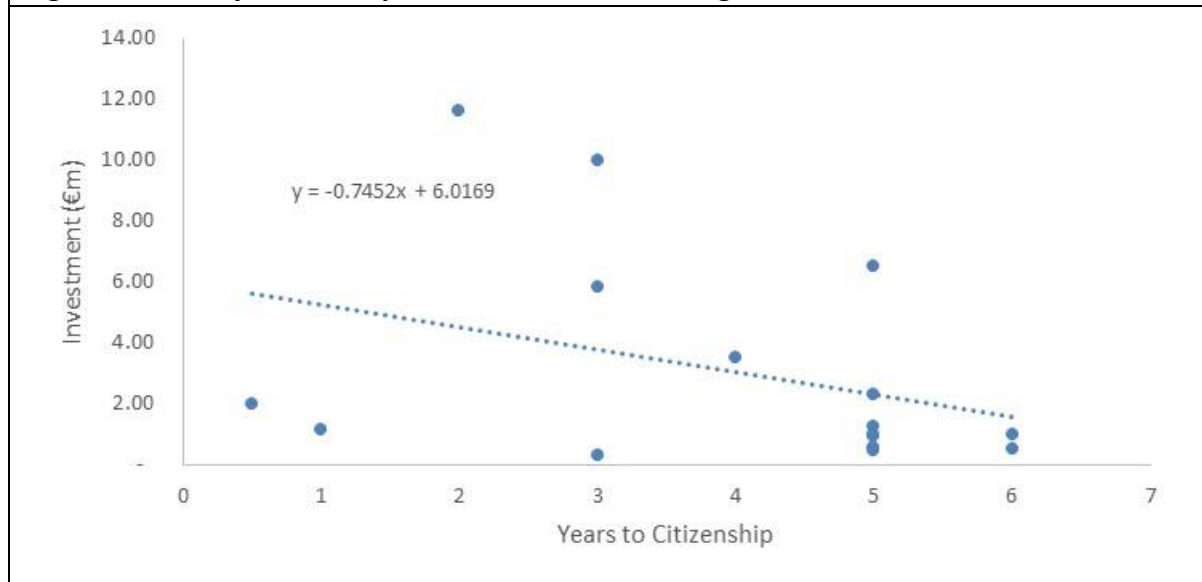
From a high-level look at the comparable international schemes, it appears that investors are quite sensitive to changes in the level of investment required.

⁸ Congress has since extended the EB-5 Visa program through until 30th of September 2017, which coincides with the end of the government's fiscal year.

Table 2.2: Activity of schemes in other jurisdictions

	2012	2013	2014	2015	2016
UK (Tier 1 Investor Visa)	470	565	1,173	192	215
US (EB-5 Visa Program)	7,640	8,564	10,692	9,764	9,947
Portugal (Golden Visa)	2	494	1,526	766	1,414
Canada (Quebec IIP) ⁹	1,408	1,048	1,731	1,750	1,900

As expected, there is significant variation in the level of investment required across different countries. In return for this investment, the benefits (in terms of residency permissions) are also quite varied, ranging from full citizenship to temporary residency with significant conditions. The relationship between the amount of investment and the number of years to citizenship are shown in Figure 2.2. This analysis indicates that there appears to be a negative relationship between the size of investment and the number of years to granting of citizenship. In other words, a high investment typically means a shorter waiting time for citizenship to be granted. It is difficult to compare schemes across different countries and there are likely to be varying nuances that are difficult to compare. It must also be noted that many schemes are focused on residency permissions (i.e. Ireland) rather than citizenship. However, in terms of benefit, citizenship is likely to be preferred to residency and some countries offer very favourable terms in this area.

Figure 2.2: Analysis of Comparable International Programmes

⁹ In February 2014, the Canadian government announced the cancellation of the Federal Immigrant Investor Program. This led to a quota being introduced for the Quebec IIP of 1,750 and 1,900 applications in 2015 and 2016 respectively

3 Performance of the IIP

3.1 Activity of the IIP

This section presents analysis of how the programme has performed. The analysis takes into account data from 2012 up until the end of Q1 2017. This section will present tables on the activity of the programme.

Table 3.1 shows the number of applications received since the start of the scheme as well as the number of applications that have been rejected. When the IIP was first introduced in 2012, it received only five applications. This increased to 20 the following year and rose up to a high of 329 applications in 2016. The number of applications up until the end of March 2017 is around 90 and if this trend were to continue for the rest of the year, it would mean that there would be approximately 360 applications in 2017. This would represent approximately a 10% rise from the 2016 figures.

At this stage, it is difficult to examine the impact of the price change on the level of activity in 2017. It may be that much of the preparation for the investment was done prior to the change in price. Thus, it is important to monitor activity throughout the year to examine the price sensitivity of investors. Early indications in 2017 appear to indicate that these investors are not overly price sensitive but this could be indicative of investment decisions made in 2016.

Table 3.1: Total Number of applications

Application Year	No. of Applications
2012	5
2013	20
2014	33
2015	66
2016	329
2017 (up to the end of Q1 2017)	90

Table 3.2 show that in 2012 the potential amount in submitted applications was €2.5m. As all the applications made were approved this meant that the total amount approved was €2.5m. This potential amount from applications made rose to €184.1m in 2016 and the total amount from approved applications in 2016 rose to €144.3m. If the number of investments up until the end of March 2017 continues for the rest of the year, the approval figure would rise to approximately €291m.

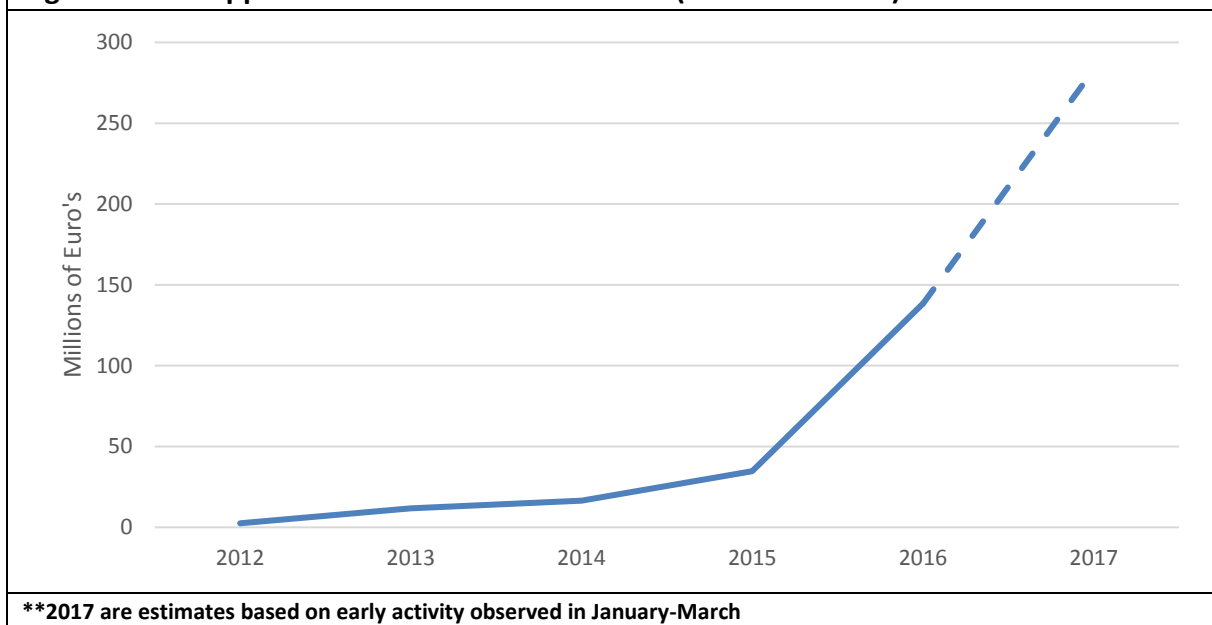
Table 3.2: Total amounts generated from IIP, 2012 to end of Q1 2017

Application Year	Total amount in submitted applications (€)	Total amount in approved applications (€)
2012	€2,500,000	€2,500,000
2013	€13,650,000	€12,650,000
2014	€16,950,000	€13,950,000
2015	€39,200,000	€36,250,000
2016	€184,150,000	€144,300,000

Total amount in applications (2012-end Q1 2017)	€340,950,000	€209,650,000
Note: Application refer to date of application but in some cases, approvals may take place in the following year. Thus, there may be some overlap		

Figure 3.1 below shows the increase in the IIP approved amounts since its inception in 2012 and the projected amount until the end of 2017. This clearly shows the significant upward trend in the size of the IIP due to an increase in the amount per applicant and an increase in the number of applications.

Figure 3.1: IIP approved amount from 2012-2017 (2017 estimated)



The largest percentage of applicants are from China as demonstrated in Table 3.3. These applicants account for around 90% of all applications. These are followed by the USA at just under 2%. This is largely similar to other international programmes such as Portugal where around 80% of investors are Chinese and in 2016 for the US (EB5 scheme) where around 78% of applications are from Chinese citizens.

Table 3.3: Place of residence of applicants

Place of residence of applicant (2012 to end Q1 2017)	% of total
China	90.96%
USA	1.88%
UAE	0.75%
Russia	0.38%
Bahrain	0.19%
Others	5.84%

3.2 Analysis of IIP by option type

Table 3.4 below outlines the different types of investment options available to applicants and the percentage breakdown of each option applied. As can be seen, the enterprise option at nearly 74% is the preferred investment option. Just over 74% of applications for the enterprise option get approval. The endowment option and mixed investment option make up approximately 11 and 10% of all applications. Just above 9% of the endowment option and 11% of the mixed investment option applications get approval.

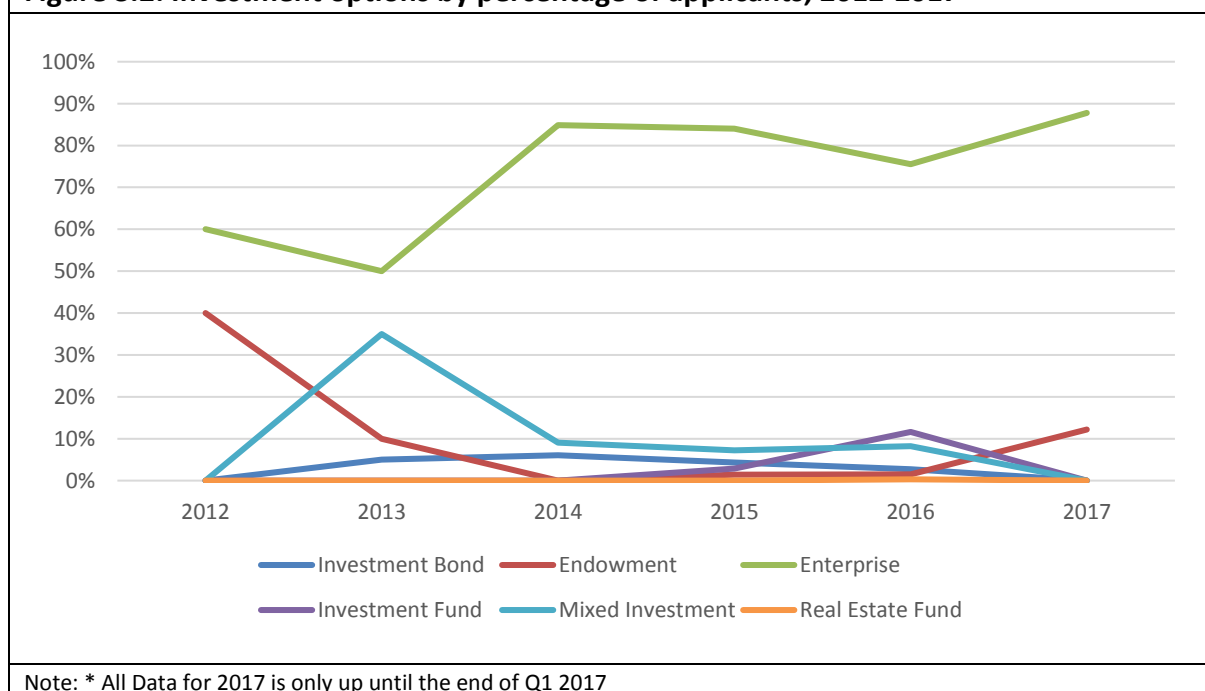
Table 3.4: IIP Investment Options, 2012 to end of Q1 2017

Investment option	% of total applications	% of total approved applications
Investment Bond	3.03%	2.87%
Endowment	10.87%	9.10%
Enterprise	73.70%	74.20%
Investment Fund	2.42%	2.65%
Real Estate Fund	0.05%	0.06%
Mixed Investment	9.93%	11.11%

Note: A very small %, less than 1%, of approved investments were subsequently withdrawn.

Figure 3.2 demonstrates that the enterprise option is by far the most popular option and this has been the case since the inception of the IIP. The mixed investment was a popular option in 2013 but this has declined significantly in recent years. The endowment option appears to have become more popular in 2017 and it will be important to monitor this trend as the year progresses. This point will hold for all of the above options.

Figure 3.2: Investment options by percentage of applicants, 2012-2017



3.3 Regional Impact of the IIP

As the Enterprise option is the most popular option for applicants, it is important to carry out a breakdown of the types of enterprises that are supported. The most common areas of enterprise investment are in hotels, social housing, primary care centres and nursing homes. This analysis is shown at the application level and does not take into account whether the application was approved.

Figure 3.3: Breakdown (%) of Enterprise Option

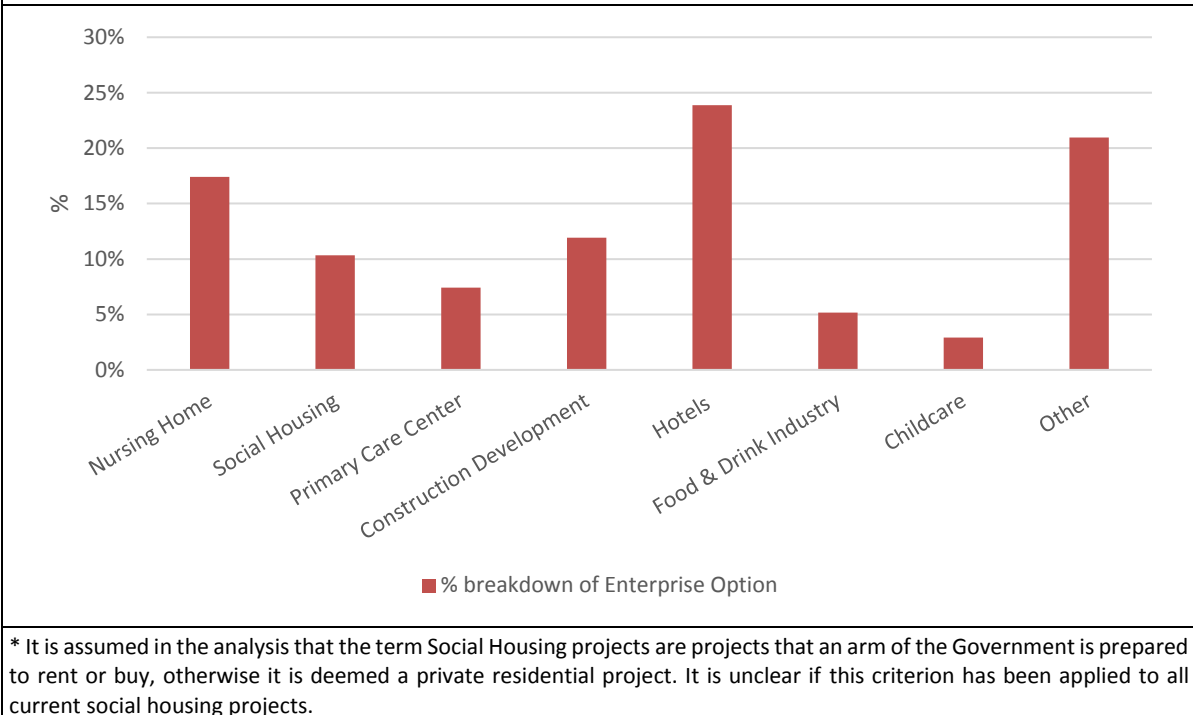


Figure 3.4 shows the distribution of proposed projects to be invested in by location. Dublin and Meath are the two counties with the largest percentage of proposed projects at approximately 14%. Limerick and Tipperary at just over 8% are the third and fourth largest and are the largest outside the greater Dublin area. Overall, there is a broad regional spread of investments and none of the investment is overly concentrated in one particularly area. The analysis below is at the project level rather the applicant level. This is an important distinction, as certain large projects will have a large number of different applicants associated with them.

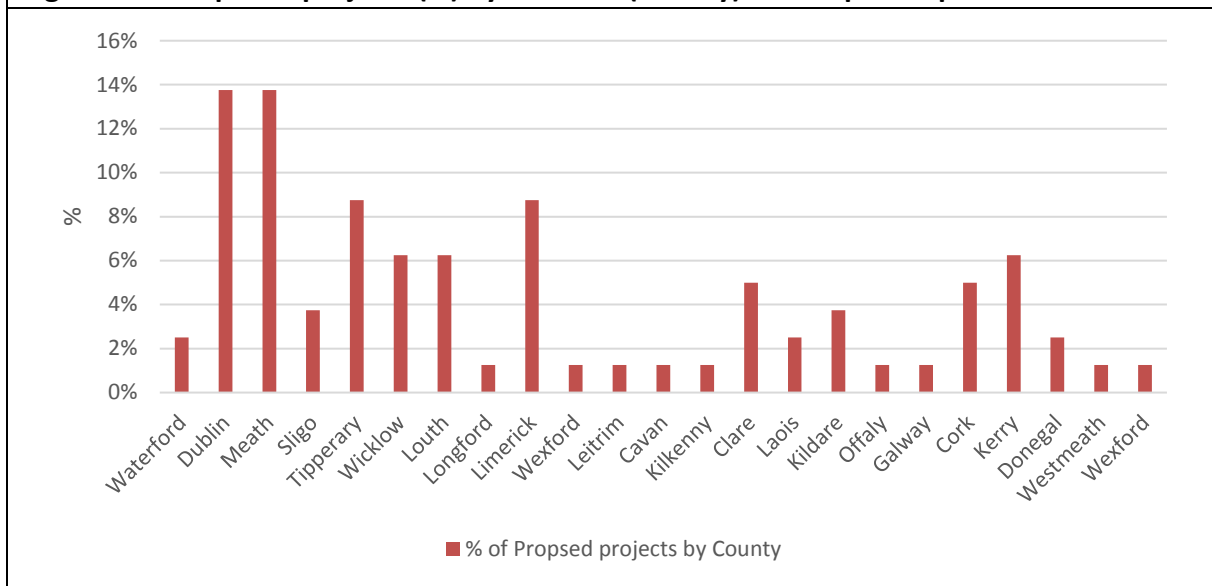
Figure 3.4: Proposed projects (%) by Location (County) – Enterprise Option

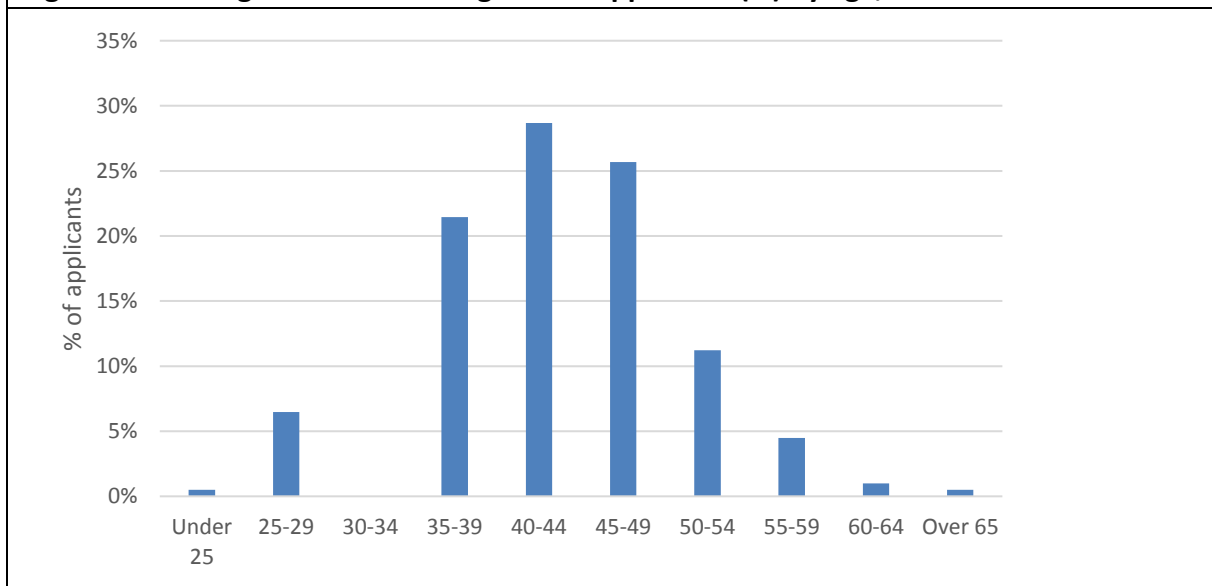
Figure 3.5 shows the distribution of proposed projects to be invested in by region. This can be used as an indicator of where there is a spatial preference for the location of proposed projects. It is clear that there is a regional preference to the East coast, as Dublin and the rest of Leinster are combined make up over 50% of the locations for proposed projects. The Munster region has the next highest percentage at just over 35% but as Figure 3.4 shows, this figure is predominately made up of Limerick and Tipperary, who make up nearly 50% of the score. Kerry at 6% scores highly but this is due to the investment in tourism in the form of proposed investment in the hotel industry.

Figure 3.5: Proposed projects (%) by Location (Region) – Enterprise Option

Note: the average number of applicants per project is approximately six applicants per proposed project.

3.4 Demographic profiles of IIP applicants

Figure 3.6 shows the age profile of the IIP applicants. The 40-44 age group is the largest followed by the 45-49 age group at just over 25% are the two largest age cohorts applying for the IIP.

Figure 3.6: Immigrant Investor Programme applicants (%) by age, 2012 to end of 2016

An important consideration in the application process is the family dynamic of the main applicant. Table 3.5 breaks down the family dynamic of the main applicant into main applicants who apply to bring their spouse and the number of children that could be accompanying them. Nearly 90% of main applicants who apply include their spouse in the application. Sixty percent of applicants include their spouse and one child on their application form. This drops to 31% and 6% for applicant who include their spouse along with two and three children respectively.

Table 3.5: Family dynamics of applicants

	% of applicants
Main applicants who include their spouse in application	88.55
Main applicants who include their spouse & 1 child in application	59.90
Main applicants who include their spouse & 2 children in application	31.36
Main applicants who included their spouse & 3 children in application	6.17
Main applicants who include their spouse & more than 3 children in application	2.57

Our analysis indicates that each approved applicant has an average of two dependents. For the approximately 260 approved applications in 2016, around 512 dependents were also granted residency rights. For 2016, the number of IIP based residency permissions granted was approximately 770.

A similar number of residency permissions are likely to be granted in 2017 if the current level of demand is maintained throughout the year.

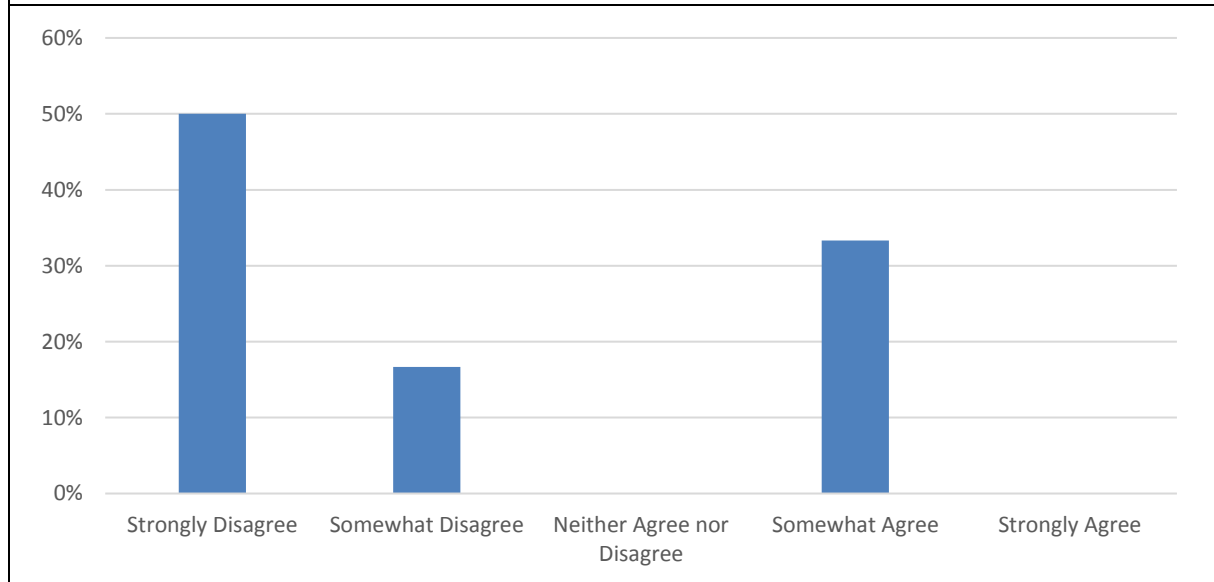
3.5 Views of the applicants

As part of this interim evaluation, we undertook a short survey of agents who promote the IIP. The questionnaire was sent out to each of the participating agents who submitted an application on behalf of their client. The principle reason for the questionnaire was to get a sense of how the

participating agents felt about the scheme. The questions broadly looked at how satisfied the agents were with the program and to what extent would the investment have taken place without the IIP.

An important question to be answered was the agent's satisfaction with the scheme. Figure 3.7 shows a broad mix of opinions on the structure of the IIP. This survey was undertaken during Q1 2017 and this period corresponded to a rapid increase in the number of IIP applications. This increase has led to an increase in processing times and this has led to dissatisfaction with agents.

Figure 3.7: Satisfaction with IIP structure



The agents were also asked about the likelihood of the investment occurring without the IIP. Figure 3.8 clearly indicates that all the agents surveyed felt that the investment would not have taken place without the IIP. This is a key evaluation question and aims to get a better handle of the likely deadweight associated with the programme.

Figure 3.8: Likelihood of investment without IIP

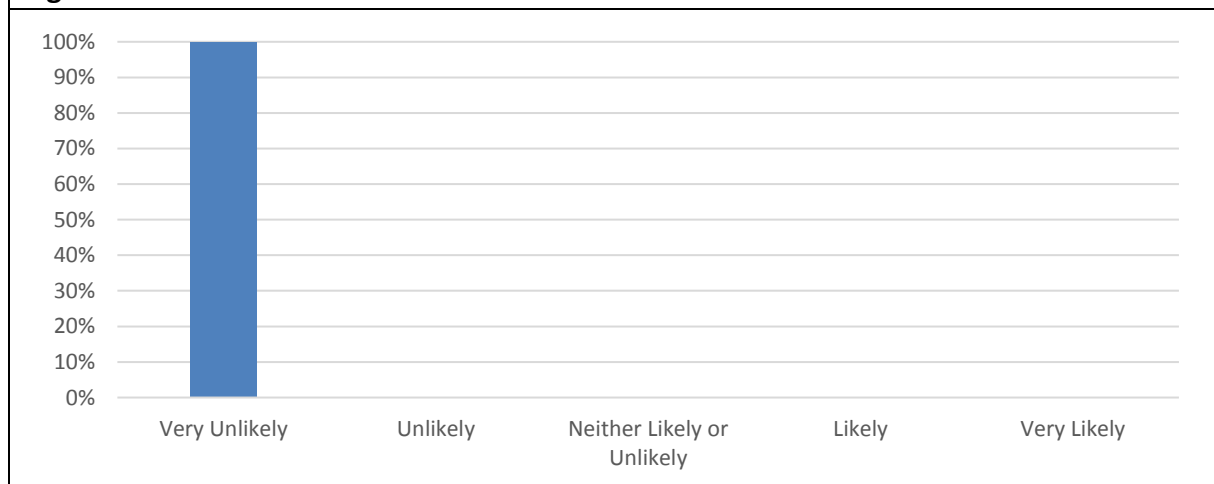
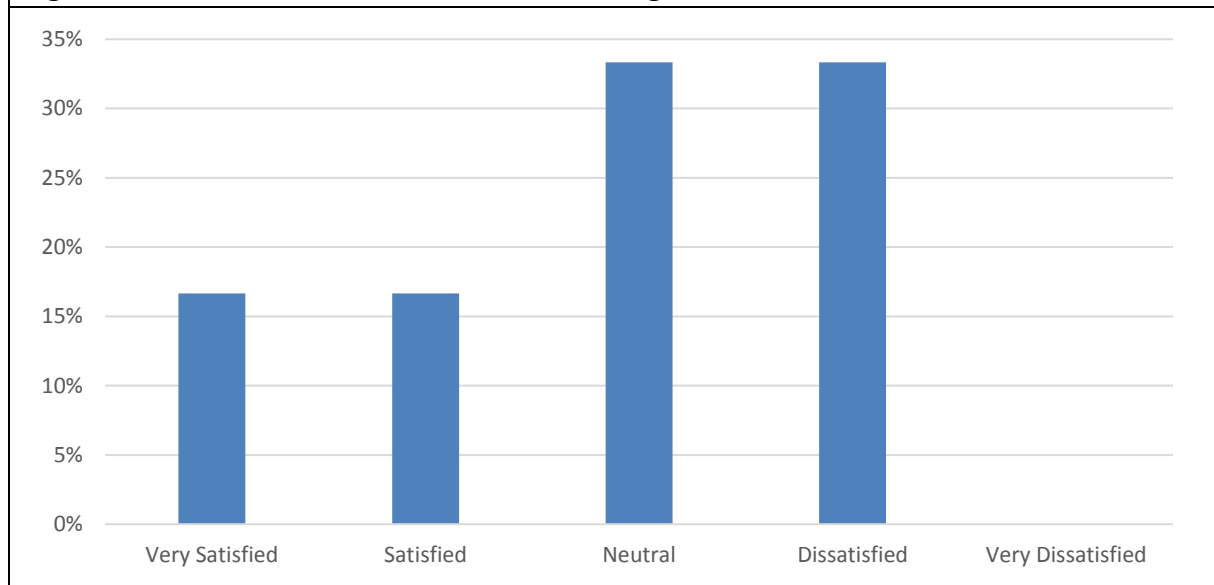


Figure 3.9 shows the level of satisfaction with the contact between agents and the IIP scheme. Between 30-35% of those surveyed expressed dissatisfaction with their contact with the IIP. Those agents who were very satisfied and satisfied was approximately 15% in each case.

Figure 3.9: Satisfaction with contact between agent and IIP



Some of the recommendations to improve the IIP made by agents were:

1. Pre-Approval of Projects by INIS allowing for marketing of same
2. Defined processing time of submitted applications
3. Clearly defined categories of investment
4. There should be an acknowledgement of each application
5. The timeframe for responses should be more transparent

4 Context for the evaluation

4.1 Background context

In order to assess the impact of the IIP, we need to examine its role in the Irish economy and examine what role, if any, it is performing in the efficient operation of the economy.

One area examined was how the IIP supports enterprise, one of the initial objectives of the enterprise option. This can be somewhat examined by looking at recent trends in the number of enterprises in Ireland and analysing where the IIP sits within this. Our analysis indicates that between 2012 and 2016, the Enterprise option of the IIP supported around 50 investments¹⁰. To put this in context, this represents support for only around 0.02% of active enterprises in Ireland.

An important aspect in the survival of an enterprise is its access to finance. The principle route for enterprises to raise capital is through bank loans. Approximately 65% of enterprises were successful in securing loans while just under 30% were unsuccessful for various reasons. Some reasons for rejection of loan application could be lack of own capital, no loan history or insufficient collateral or guarantee. In cases like these, the IIP may be able to fill a gap in the market but only after proper due diligence and examination of the enterprise has been carried out.

There are always selection issues apparent with finance data and some firms will not apply, as they know that they will not meet the set criteria. Thus, rejection rates for finance will appear lower in official statistics.

4.1.1 Other sources of investment funds

The Ireland Strategic Investment Fund (ISIF)¹¹, managed and controlled by the National Treasury Management Agency (NTMA), is a sovereign development fund, which has two clear objectives:

1. To provide a commercial return on investment
2. Supporting economic activity and employment in Ireland.

The Fund has a discretionary portfolio valued at €8.1 billion. At the end of 2016, it has committed around €2.65 billion.

As part of the investment, the economic impact of the investments are monitored on a half-yearly basis¹². The analysis undertaken by the NTMA indicates that for every €100 million of investment, around 1,600 job years are created¹³. The ISIF committed €522m to 22 investments in 2016.

There are other comparable funds such as the Connectivity Fund, the European Fund for Strategic Investment¹⁴ and the Strategic Housing Fund. It is important these funds be considered when examining the effectiveness of the IIP. These funds are also likely to invest in similar areas to the IIP;

¹⁰ One feature of the IIP is that individual applications can be combined into investments in specific projects.

¹¹ <http://www.ntma.ie/business-areas/ireland-strategic-investment-fund/>

¹² <http://isif.ie/wp-content/uploads/2016/12/ISIFEconomicImpactH12016.pdf>

¹³ Ibid.

¹⁴ The EFSI has supported 14 primary care centres with the assistance of the EIB

however, they may invest at different scales and with different conditions. Under such circumstances, there will be a rationale for the funds to be sourced through the IIP.

The EFSI provided loans worth €825.3 million in 2016. Since 2012, this fund has provided loans worth 3.7 billion euros to around 39 projects in Ireland. Typically, these projects are very large and the average loan per project is around €100 million. A significant portion of this has gone into Social Housing and Primary Care Centres. In terms of social housing, the Housing Finance Agency jointly finances these projects.

Thus, it is likely that these types of supported projects are going to be very large and not comparable to the projects supported by the IIP. Much of the EFSI and ISIF funding is also contingent on other funding sources. It is unclear if the funds generated by the IIP can support these shortfalls and this may provide a continued rationale for the IIP. The scale of the IIP is very significant considering that the ISIF only committed €522 million in 2016.

4.2 Relevant background context to the Programme

The effectiveness of the programme will be largely dependent on external factors. As the IIP can be viewed as a form of Foreign Direct Investment (FDI), one important question regarding the programme is whether Ireland needs to generate more FDI or whether indigenous industry require more support. Ireland as a country has benefited from FDI and in 2016, Ireland was ranked 10th in global FDI flows, taking in a net flow of €33bn.

Significant portions of the IIP investment come from Chinese investors. This is common to many other comparable international schemes. China have considerably increased their FDI presence in Ireland in recent years. The CSO estimate that, in 2015, around €1,152 million of FDI flowed into Ireland from China. The IIP was relatively small in 2015 and was unlikely to have had much impact on this figure. The FDI figure in 2015 is the first significant inflow of FDI from China into Ireland and it is not possible to state if this will continue.

Overall, the IIP contributes a minimal amount of FDI compared to the overall amount. Even in 2016, it is likely to only represent a very small proportion of overall FDI.

4.2.1 Immigration trends of non-EEA citizens

The most recent estimates available for 2016 from the Irish Naturalisation and Immigration Service (INIS) indicate that there are around 115,000 non-EEA nationals with permission to live in Ireland. This represents a slight increase from the 2015 figure. The current top five registered nationalities, which account for over 48.5% of all persons registered, are Brazil (13.2%), India (12.2%), China (9.2%), USA (7.9%) and Pakistan (6%). The majority of persons with permission to remain in the State are here for work or study purposes.

The other large workflow is the processing of entry and re-entry visas and provisional figures indicate that 124,225 entry visa applications were received in 2016. This represents a 41% increase since 2012¹⁵.

These statistics highlight that the residency permissions associated with the IIP are likely to be a very small portion of the overall non-EEA residents in Ireland. The residency permissions associated with the IIP represent only around 0.5% of all residency permissions to non-EEA nationals in Ireland.

The IIP hopes to target business migration. Recent estimates indicate that around 17% of Visa applications are for these purposes (although the vast majority of these are short-terms visas). Based on 2016 figures, this represents around 21,000 visas being granted for business purposes¹⁶.

4.3 Overview of some key evaluation questions

An important part of any evaluation is to identify the counterfactual. The counterfactual is an examination of what would have (hypothetically) happened in the absence of the IIP and what would have been the activities, outputs and impacts if the programme did not exist.

The definition adopted regarding “the economy” is very important from the outset as well as the spatial dimension of the displacement concept. Displacement measures the extent to which the benefits of a project are offset by reductions of output or employment elsewhere.

These concepts are very difficult to measure conclusively. This interim evaluation will set out some indicative evidence to make a preliminary assessment on these key evaluation questions.

4.4 Risks of the Programme

An important aspect to keep in mind with this programme is the risks involved with it. Comparable programmes in other EU jurisdictions have suffered considerable negative consequences due to a lack of adequate procedures in place.

Some of these risks may include the following:

- Reputational damage for the immigration system
- Crowding out of indigenous investment
- Inflationary pressures in selected areas
- Increase in liability for new residents

Most of these risks are likely to be minimal at present as the programme is still very small. However, if the scheme continues to grow at the current rate, then these risks will become more significant and substantial procedures will be needed to overcome these.

¹⁵http://www.justice.ie/en/JELR/INIS_Immigration_in_Ireland_Annual_Review_2016.pdf/Files/INIS_Immigration_in_Ireland_Annual_Review_2016.pdf

¹⁶ General Employment permits are issued by DJEI and this is another approach to promote skills transfer.

5 Costs of the Programme

5.1 Summary of costs

5.1.1 Direct costs of the Programme

It is difficult to estimate the exchequer costs of this programme. There are no capital costs or new expenditures associated with this programme. However, the operation of the scheme requires significant staff time and this exchequer cost can be estimated¹⁷. We estimate that the scheme has required a significant increase in staff resources in recent years. In the early years, the number of applications was very low and this was reflected in the amount of staff resources required.

These costs also include other associated costs summarised in Table 5.1.

Table 5.1: Breakdown of operational costs and revenues associated with the operation of the scheme (2012-2016)

	Total Costs (€ million)
Estimated Staff costs	0.40
Total Application fees ¹⁸	0.29

In its current scale, the operational costs of the scheme between 2012 and 2016 are likely to be quite modest. This reflects the number of staff involved in the operation. These costs are typically largely offset by application fees.

There are two elements to the staff costs associated with operation of the scheme:

1. Day-to-day operation of the scheme
2. Senior staff time involved in decisions of the evaluation committee.

The evaluation committee meet around four-five times per year and we have assumed 1 working day for each meeting. There are also some costs to promoting the scheme internationally, which is done with the assistance of the embassy network and the Department of Foreign Affairs.

There are also likely to be significant compliance costs for the agents associated with this scheme. At the moment, we have no evidence to estimate what these costs are in an Irish context. These costs are borne by the applicants and typically paid to Irish suppliers. There are also costs to agents of promoting the scheme and attracting investors but these costs are part of their commercial operations.

There may also be wider indirect costs associated with the programme. These may be in the form of opportunity costs for any programmes that are not supported due to the presence of the IIP. The investment associated with the programme may crowd out indigenous investment, which would

¹⁷ <http://publicspendingcode.per.gov.ie/e-01-calculation-of-staff-costs/>

¹⁸ The application fee has doubled from the start of 2017

lead to a situation where the IIP investment has little or zero economic benefit to the Irish economy. These types of costs will reduce the gross economic benefits associated with the programme.

5.2 Benefits of Residency permission to investors and take-up of residency permissions

The scheme facilitates residency permits for the investor and his/her dependents. However, approved applicants do not need to take up residency immediately. This means that the recent surge in applications may not result in an immediate increase in the number of residency permissions, as it may be a significant period before applicants take up residency. There is also a significant amount of legal work that needs to be undertaken before the investment is finalised. Thus, there is going to be a significant lag between the date of approval and the finalisation of the investment and the subsequent take-up of residency.

At this stage, it is difficult to estimate exactly what percentage of approved applicants actually take-up residency. There is a very low minimum number (1 day per annum) of days that an applicant must reside in Ireland due to the programme. Many approved applicants may only spend a couple of days a year in Ireland and thus the costs associated with providing public services are not applicable. In such instances, only the costs associated with the operation of the scheme should be included.

It is important to consider what benefits the programme offers to the investor and how these benefits may incur costs to the Irish state. The residency permission allows the investor to travel without a visa to a number of countries and this is likely to be a significant benefit to individuals who have business interests in multiple countries. Citizenship is the best form of immigration permission but this is not offered as part of the Irish programme (in contrast to programmes in other countries).

5.3 Residency costs

As shown in Table 3.5, there are typically a number of dependents associated with each approved application. These applicants and their dependents have residency permissions and can avail of education and health services in Ireland. They do not have to contribute towards these through taxation although if they earn income in Ireland, they will contribute through the general taxation system¹⁹.

Any estimate of the costs of providing these services is difficult to estimate and is reliant on a number of factors²⁰. Two of the key factors that will drive these costs are the number of dependents and the age profile of the approved applicants.

The majority of applicants are aged between 35 and 49. In contrast, the Irish population is more evenly distributed with a higher dependency ratio²¹. Typically, these applicants have two dependents. It must be noted the number of applicants (and dependents) is very small (less than

¹⁹ The IIP offers no preferential tax treatment for investors who take up residency.

²⁰ It is also worth noting the importance of estimating marginal costs rather than average costs when making this estimation. In a system that is close to full capacity, the marginal costs may be significantly greater than the average costs.

²¹ The Dependency ratio is an age-population ratio of those typically not in the labour force

1% of non-EEA residents) compared to the overall Irish population or indeed to the total level of immigration into the state annually.

In terms of education, to facilitate investors who wish to educate themselves or their family members in Irish higher education institutions, an investor may avail of a discount on their investment for any educational expenses that they intend to commit to in Ireland. This could be quite a significant amount over the course of a four-year degree.

5.4 Future costs of the Programme

An important aspect of the scheme is the potential future implications of providing Irish residency status. Although residency does not guarantee citizenship, it is one pathway that might be attractive to non-EEA citizens.

The number of applications to the IIP is currently quite small and so the number of people who have been granted residency because of the scheme is only a small fraction of the total numbers granted citizenship on an annual basis.

6 Estimated Benefits of the Programme

Much of the costs outlined previously could also be economic benefits depending on the types of investment and the activity of the investor. To estimate the possible benefits of investors, we assume that all individuals and dependents take up residency. In reality, the specific nature of the Irish programme means that not all approved applicants will take up residency on a permanent basis.

Many approved applicants may only spend a couple of days a year in Ireland and thus any economic activity they contribute in terms of taxation and expenditure will not be applicable.

6.1 Gross benefits of the programme

There are two main types of benefits associated with the programme. These are related to the actual investment made and the added value this investment brings to the Irish economy. The second benefit relates to the activity of the actual investors who are given residency rights and take-up residency.

6.1.1 Gross Benefits of the Investment

The gross economic benefits²² of each option are likely to vary. Most of the investments involve a payback to the investor with a slight return on investment that is below what would otherwise have been received. The gross economic benefit can be broadly estimated as the initial investments less the amount paid back plus the amount of interest (and other favourable conditions) that would have been paid.

A big consideration of the investor is the level of risk associated with the investment. Each investment option has a different risk profile. The investment bond option has the lowest level of risk and the enterprise option has the largest risk associated with it. This potentially makes the bond option more valuable to investors.

A summary of the different options and the total amount of investment associated with each option is shown in Table 6.1.

Table 6.1: Summary of IIP options and associated gross Investments (2012-2016)

Type	Total Amount (€)	Analysis
Enterprise	€138m	Likely economic benefit but difficult to quantify the exact amount; likely to have the highest risk
Endowment	€5m	Largest Economic Benefit; significant cost to investor
Investment Bond	€14m	Very little economic benefit; low risk; money tied up
Investment Fund	€17.5m	Possible economic benefit but difficult to quantify the exact amount; likely to have lower risk than enterprise option

²² These gross economic benefits do not take into account key evaluation factors such as deadweight and displacement. All estimates of economic benefit are gross of the deductions for these factors.

Mixed Investment	€35.15m	Minimal or possibly negative economic benefit; low risk; investment in property unlikely to best use of foreign investment
A very small %, less than 1%, of approved investments were subsequently withdrawn.		

Immigrant Investor Bond

The total amount associated with the bond was around €14 million that compares to the NTMA funding requirement of €10 billion in 2016. This compares with the initial 1% and latterly 0% interest rate associated with the IIP bond. Thus, there appears to be very little benefit of this element of the programme. It is also such a small amount that it does not offer any hedge against bond market interest rate fluctuations. It could also be argued that this investment could be used for more productive purposes. Any economic benefits associated with this option are likely to be linked to the resident activity of the investor. Research²³ undertaken on the UK scheme has found that there is very limited economic benefit associated with this type of option.

Schemes that target property are likely to be of very little benefit to the Irish economy. They could indeed be negative if they push up prices for domestic investors. The mixed investment option includes a property purchase aspect.

The endowment option is likely to have the largest economic benefit as it is a gift and does not need to be paid back. The endowment option typically invests in philanthropic areas, which have specific economic benefits.

Enterprise Option

The key determining factor of the economic benefit of the Enterprise option is how likely it is that this investment would have been secured without the programme. A secondary consideration is the conditions associated with this investment and how they compare to conditions associated with other available sources of finance.

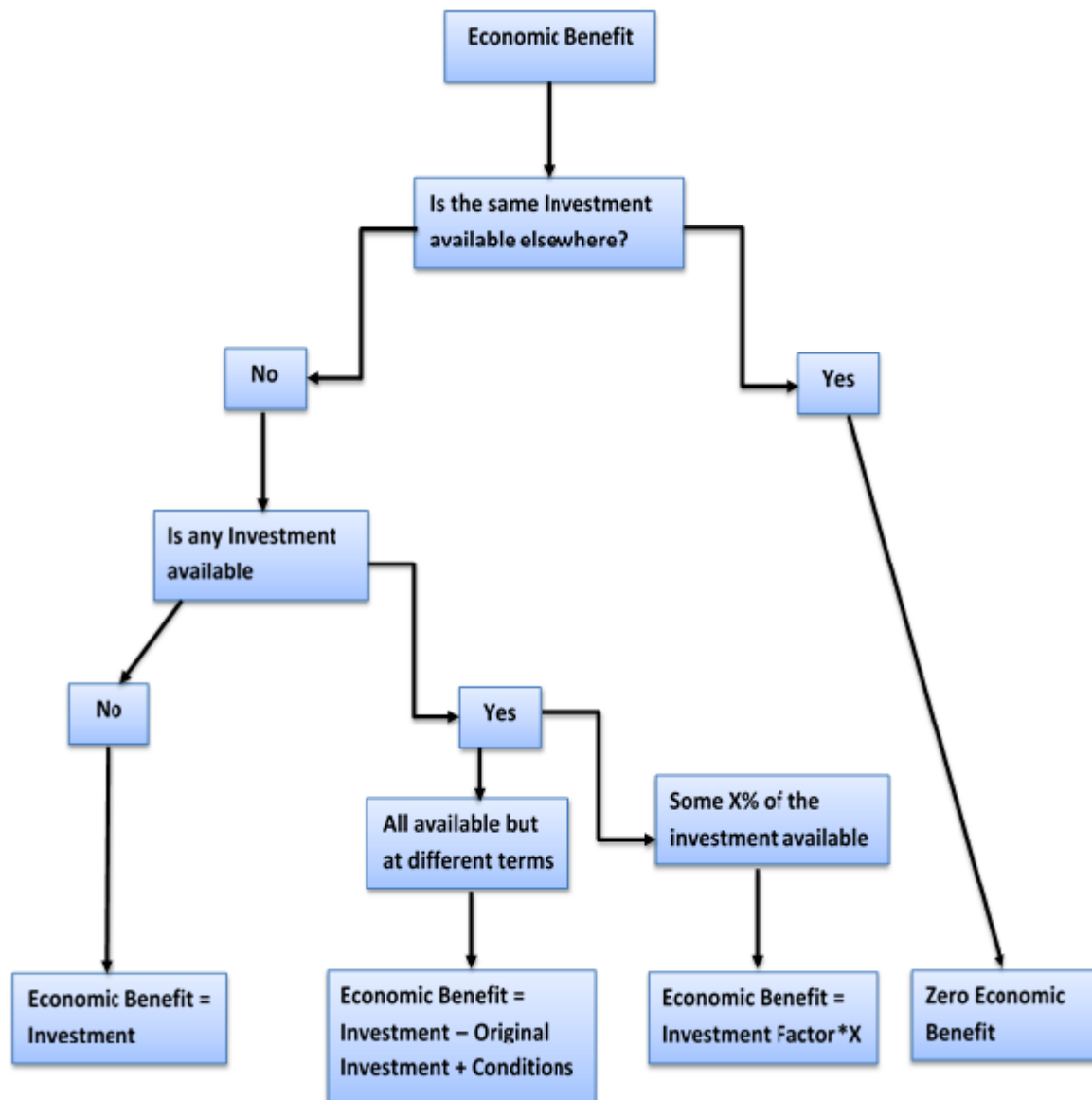
It is very difficult to estimate how likely it is that the relevant investment would have been available without the IIP and it is difficult to examine the conditions that would come with other sources of finance and how these compare with the IIP. Based on our survey of agents, it appears that most of the enterprise supported would not have been possible without the programme. It has been noted that one of the key elements of the IIP (and comparable international schemes) is that it supports early stage investments that would require financing that would be more difficult to obtain.

An outline of how the economic benefits accrue from the Enterprise Option is shown in Figure 6.1. This highlights the key factors that drive the level of economic benefits associated with the Enterprise option. It is possible that the option will have zero economic benefit if the same finance (with same conditions) is freely available elsewhere. The economic benefit increases significantly and could be equal to the level of investment when no alternative sources of finance are available. The investor will ultimately get their investment repaid to them after a minimum of three years if

²³ <https://www.gov.uk/government/publications/the-investment-limits-and-economic-benefits-of-the-tier-1-investor-route-feb-2014>

the enterprise is in a position to do this. Thus, this return of investment should be factored in when examining the economic impact. There is also the possibility that the applicant will make a profit from the investment. We estimate the benefit as the difference in the expected amount when interest and default rates are taken into consideration. The enterprise option allows for the purchase of a hotel facility as a “going concern” with a business plan for its future development and maintaining employment. Such an investment may have minimal incremental employment.

Figure 6.1: Assessing the Economic Impact of the Enterprise Option of the IIP



The investment fund is likely to operate similarly (in economic terms) as the enterprise option. This assumes that the investment fund invests in projects that are broadly similar to the enterprise option. The amount of investment then filters through the economy and leads to tangible economic impacts such as employment and value added. As per the Programme Logic Model described earlier,

these are the outcomes and impacts of the programme and could not be achieved without the investment.

6.1.2 Employment supported

The key objective of the IIP at the outset was the creation and supporting of employment through foreign direct investment. It is difficult to examine the total number of jobs supported and created by the investment at present as it may take a number of years for the employment to be created. To examine this issue, we have applied input-output analysis to the levels of likely investment from the IIP²⁴. These high-level gross estimates are shown in Table 6.2 and indicate that the IIP may support a significant amount of employment. It is estimated that if all the investment in 2016 were of economic benefit, then the IIP would support around 1,100 FTEs.

Table 6.2: Summary of Construction Employment Associated with Enterprise Option (2012-2016)

Type	Total Amount (€)	Estimated jobs supported
2012	€1.5m	18
2013	€4m	48
2014	€12m	144
2015	€27m	324
2016	€93.5m	1,110
Assumption: Estimated additional direct & indirect jobs (FTE) per €1 million additional expenditure is 12 job years . This only includes employment during the construction phase of the project. We assume this lasts 1 year.		
Note: These are gross estimates		
Source: CSO data (Input-Output tables and multipliers, labour costs), methodology adapted from National Transport Authority paper, CEEU/DPER calculations		

There are significant caveats with this analysis and any similar analysis that attempts to link investment to employment.

The analysis above focused on the employment supported by the initial investment and does not take into account the sustainability of the employment. It is likely to be an overestimate of the employment supported by the programme. The nature of the Enterprise option has changed over the years and many of the more recent projects are for development of new facilities such as nursing homes and primary care centres. These types of investments support employment in the construction phase and in the operation phase. The analysis above focuses on the investment phase.

The type of projects supported were outlined previously in Figure 3.3 and it must be noted that there may be multiple investors who are supporting the same project. Some indicative evidence of the likely number of employees per project are shown in Table 6.3. Hotels and nursing homes are two of the largest areas of investment and these areas are labour intensive. In reality, the net employment impact of the Enterprise option in terms of hotels supported may be minimal. The

²⁴ A similar approach was used to estimate that around 45,000 construction jobs would be supported by the Capital Plan
www.per.gov.ie/wp-content/uploads/Capital-Plan.pdf

finance provided is typically for the acquisition of a hotel and we are unable to examine the survival prospects of the hotel without the financial support. Some hotel investments do include a construction or refurbishment element, which may have more short-term employment impacts.

Table 6.3: Average Employment Supported by selected facility during operation

Type of facility	Average Number of Employees
Nursing Homes	55
Hotel	57
Primary Care Centre	23
Source: NHI, IHF and DoH	

The analysis shown in

Table 6.4 examines the type of projects that are supported by the Enterprise Option and the indicative employment supported by each of these groupings. At present, we do not know if other finance (aside from that sourced through the IIP) is used to support these projects. This may reduce the economic impact of the investment.

Table 6.4: Possible Estimated sustained employment supported by the Enterprise Option (2012-2016)

Type	Total Approved Applicants	Estimated No. of Projects	Estimated jobs supported
Hotel	82	11	627*
Nursing Home	60	6	330
Primary Care	29	4	92
Social Housing	40	7	0**
Other	57	9	57
Total	268	37	1,106
*Much of the Investment in Hotels is in existing Hotels and it is difficult to estimate how the Hotels would function without this finance. It is likely that considerably less Hotel jobs are supported than indicated above. **Social Housing will not typically directly support sustained employment Note: These are gross estimates			

Overall, these employment figures should be considered with caution and should only be viewed as an indicative estimate of the impact of the programme. Issues that are discussed in the next section are likely to mean that the impact of the IIP, in terms of employment, is likely to be much lower.

6.1.3 Gross Benefits of the Investors activity

Assuming that all applicants take up residency, there may be additional economic activity created by this. Again, this is very difficult to estimate in a robust fashion. The types of benefits that these may include are summarised in Table 6.5.

Table 6.5: Economic Benefits associated with IIP investors

Direct Benefits	Description of Gross Benefit
• Personal Taxes • Local expenditure • Other benefits associated with economic migrants	• Residents pay local taxes on income earned in Ireland • Spend money on local services such as schools, hospitals, cars • Knowledge spill overs, Innovation and connections to new markets

The economic impact of the individual investors can be assessed through analysis of personal tax contributions and local expenditures. A high-level estimate of these impacts indicates that if all of the current approved applicants and their dependents lived in Ireland, they would contribute around €11 million in taxation. It must be noted that this should not all be considered as economic benefit.

As discussed previously, it is likely that a large portion of the applicants do not take up their residency permission. This means that the benefits illustrated above never transpire.

However, it may be that investor's take-up residency at future time intervals. It must also be noted that having a residency permission does not directly relate to citizenship rights. The granting of citizenship has very particular criteria, which many who avail of the IIP would not comply with²⁵.

6.1.4 Other Possible Benefits of the Programme

One of the key secondary objectives of the IIP (and similar comparable international schemes) is to increase the productivity of the economy through knowledge transfer and better international linkages.

This may involve deepening trading relationships with the native countries of the investors. These investors are likely to be quite successful business people and their expertise is likely to be beneficial to local enterprise.

It is unlikely that the design of the IIP leads to these types of benefits in the short-term. At present, the programme mainly seeks investment and there is little responsibility on investors to integrate into Ireland. However, in the medium-term, the programme may deliver these type of benefits as investors follow their investments and gain insight into the Irish economy and how it is structured. These may be largest economic benefits of the programme in the long-term due to the open nature of the Irish economy.

²⁵ <http://www.inis.gov.ie/en/INIS/Pages/WP16000022#eligibility>

6.2 Net benefits of the programme

The net benefits of the programme are likely to be much smaller. Most public policy schemes have some degree of deadweight and displacement. This significantly reduces the benefit of the scheme to the economy.

It is difficult to estimate the net benefits of any scheme, as participation in the scheme is typically not random. Focusing solely on the investment aspect of the programme, some indicative analysis below (Table 6.6) suggests that the scheme would still be beneficial to the Irish exchequer even in the context of 99% deadweight. This reflects the relatively low level of costs associated with the programme at present. However, these cost levels may not be sustainable in the context of the 2016 and 2017 activity levels.

Another added complication of this scheme is that not all approved investors actually take up residence. At this stage, it is difficult to analyse exactly what percentage will take up residency, as there is likely to be some lag between the investment being provided and the residency being taken up. We assume that all approved applicants take up residency for the estimates below.

The net benefits of the programme are very difficult to estimate but are going to be a fraction of the gross estimates. Various estimates of deadweight have been used in public policy evaluation in Ireland. There is significant variation in these levels and it is likely that they lie somewhere between 40-80%. Applying this range, the net benefits of the programme are summarised in Table 6.6.

Table 6.6: Summary of Net Economic Benefits (2012-2016)

Type	Gross Economic Benefit(€ million)	Net Economic Benefit (€)
Economic Benefit of Actual Investments	74.8	15.0-44.9
Economic Benefit of domestic activity by investors	11.4	2.28-6.8

The implications for employment for construction are shown in Table 6.7 and show the considerable levels of employment potentially supported by the programme. Construction employment is likely to be for a limited period and this should be considered when examining the sustainability of impact.

Table 6.7: Summary of Employment (2012-2016)

Type	Gross Employment *	Net Employment**
Construction Employment	1,619	324-971
Sustained Employment	1,106	221-664
*Refers to Job Years **The Net Employment impacts should be adjusted to reflect the current nature of the labour. In an economy with full employment and fixed labour supply, then the employment benefits of any investment will be zero as employees simply switch jobs and there is no additional employment.		

In an economy with full employment with a fixed labour force, there will be little added economic benefit of job creation. This is because labour will just be substituted between different firms and the overall net impact will be minimal. Along with an assumption for deadweight, an adjustment

to account for labour market conditions should also be made. Again, this is difficult to estimate with precision. Public Spending Code guidelines indicate that this adjustment should be at least 80% which means that for any specific employment creation, around 80% of the employment would have occurred without the investment.

7 Overall Interim Assessment of the IIP

7.1 Interim assessment of the effectiveness of the IIP relative to cost

At this stage, it is difficult to fully evaluate the effectiveness of this programme. A number of the investments that have been approved have not matured fully. However, it appears that this scheme has attracted significant levels of investment that would not have accrued without the associated residency benefits of the scheme. The number of applications has increased significantly on a year-by-year basis since the introduction of the scheme.

The programme is now at a crucial stage as recent evidence indicates a significant increase in demand for the scheme. If these levels of investment continue, then the scale (in terms of committed investment) of the programme will become very significant. This creates a number of issues that are important to consider.

To-date very few of the approved applicants have taken up full-time residency so the benefits of the programme are confined to the investments and how they support the domestic economy. In the future, the numbers availing of residency may increase significantly if political uncertainty increases.

It is always difficult to estimate the net economic benefit associated with any public policy intervention. This will be dependent on how likely it is that the outcomes of the programme could have been achieved without the intervention. In this case, there are three elements to the scheme. The first is how likely the investors would have been to invest without the residency permission. Our analysis would indicate that this investment is directly related to the existence of the scheme. The second element of the scheme is to consider whether the investment linked to the IIP could be sourced from alternative sources within Ireland (without the programme). In times of credit constraints, the economic value of this investment is likely to be significantly higher. Overall, it is difficult to estimate this important element of the programme. On balance, it appears that much of the investment is well targeted and serves a particular demand that may not be met by alternative means. The final element to consider is the labour market. In the context of an improving labour market, the employment impacts may not be as significant as they would have been at the outset of the programme. This reflects that the employment created by the investment may be filled by existing employees and thus result in minimal net new employment.

7.2 Recommendations for the future of the IIP

Based on our analysis, we believe that there are a number of recommendations that could be considered in the ongoing operation of the programme. These recommendations are based on an initial examination of the evidence of the operation and activity of the programme. They are aimed at allowing the IIP to maximise its return for the Irish economy in the most efficient way. There are obviously other recommendations that could be made about this scheme but these are outside the scope of this report. It is clearly important that the integrity of the immigration system is maintained and this should be a priority regardless of economic impact. A first consideration should be an examination of how the programme sits within government policy and investment priorities.

The recommendations highlight the need for a continued focus on data collection in terms of both the supported projects and the associated investors. International programmes have struggled to

provide a robust evidence base for these types of immigration for investment programmes. There are also likely to be resourcing issues going forward if the current level of applicants is maintained and these should be assessed and addressed.

Table 7.1: Proposed Recommendations for the Immigrant Investor Programme

1. Review the current objectives of the programme and consider the likely trade-off between employment and economic value added and between economic impact and immigration permissions.
2. Consult with key stakeholders regularly regarding investment priorities. It is possible that other Departments will already have key investment priorities in these areas and these should be considered for the IIP. It is important that a 'Whole-of-Government' approach is adopted and any supported investment is consistent with existing Government priorities and cognisant of other investment funds.
3. Establish evaluation criteria to help inform the decisions of the evaluation committee in consultation with the key stakeholders.
4. Consider the data collection associated with the operation of the scheme and how the impacts of each investment are tracked. Similarly, a process may be put in place to look at when and how approved applicants avail of residency permissions. Trends should be monitored on an ongoing basis. These data collection improvements will enable a more robust economic assessment and ex-post evaluation of the impacts of the programme in future years. Governance procedures should also be monitored on an ongoing basis.
5. Examine the current level of resources for the operation of the programme and assess if they are sufficient to meet the demands of the programmes. If the programme is considered beneficial, then it should be encouraged. Resources should be used to improve efficiencies in the length of the approval process and how long it takes for the transfer of the investment.
6. Consideration of the outsourcing of certain functions in relation to validation of business plans. Certain elements of the process will require specialist skills that may not be available to the evaluation committee.
7. Review the definition of Enterprise for the purposes of the Enterprise Option. This option seems to be more related to infrastructure development rather than Enterprise support. This may have implications for the pricing and risk structure of the programme.
8. Due to the significant volatility caused by recent international events, there is a necessity that this programme is formally evaluated on an annual basis.

There are other smaller recommendations that follow on from the main recommendations outlined above. The current level of resources needed to operate the scheme should be considered. If this level increases, these resources should be used to improve customer service, reduce delays, and spend more time on reviewing projects and applications. For example, a simple way to improve customer service would be to issue an acknowledgement letter to all applicants within 5 days of applying.

The overall objectives of the programme should be considered on an ongoing basis. The initial focus of the programme was on employment. This reflected significant spare capacity in the labour market. Such a focus may not be applicable as the economy recovers towards full employment.

Certain sectors are likely to be more labour intensive and thus in the long-term may not be the most beneficial for the long-term sustainability of the economy. Thus, there may need to be an approach that reflects that the employment criteria should be complemented by other factors.

7.3 Conclusion

Overall, the programme appears to be delivering its primary objectives at its inception. However, it must be noted that the background context has changed considerably since this project became operational in 2012. For this reason, it is important that the programme is monitored and evaluated on a regular basis. It is also important to note that the IIP operates in a competitive international environment and other countries are likely to offer packages that are more or less attractive to potential investors. Thus, it is important that any changes to the programme are cognisant to changes in comparable international schemes.

Annex A Evaluation Plan for next iterations of the IIP

There has been a big increase in the number of applications for the IIP in recent months. If these trends continue, then the scope and scale of this programme will increase considerably. This will have implications for resourcing but more importantly how the investment is reinvested in the Irish economy. There will always be a degree of judgement required when judging different projects. This section outlines a list of high-level criteria that could be used as a basis for decisions. These decisions should be consistent with the overall objectives of the IIP.

Evaluation Criteria to assist in Project Selection

Criteria	Key Evaluation Questions	Overall Assessment
Jobs Supported	– How many jobs supported? – The type of employment supported – temporary or permanent – The sector of employment – Labour Market Conditions for chosen sector/region	
Regional Balance of Investment	– Is the investment consistent with overall Government regional priorities? – Is there a regional infrastructure deficit in the selected area	
Economic Value Added	– How the investment contributes to economic value added – Sector specific estimates of value added	
Infrastructure Priorities	– Investment consistent with Government priorities for infrastructure development – Consultation with other Gov. Departments on priorities	
Sustainability of Investment	– How long the impacts of the investment are likely to last – Certain infrastructure will have different lifetimes (dangers of obsolescence)	

Illustrative project – construction of new nursing home

Application of Evaluation Criteria to illustrative project supported under the Enterprise Option

Criteria	Key Evaluation Questions	Overall Assessment
Jobs Supported	– How many jobs supported? – The type of employment supported – temporary or permanent – The sector of employment – Labour Market Conditions for chosen sector/region	55 perm. Jobs; health sector; spare labour capacity; Likely to be positive from Employment perspective
Regional Balance of Investment	– Is the investment consistent with overall Government regional priorities? – Is there a regional infrastructure deficit in the area	The investment is in a location that has spare capacity for further investment; There appears to be lack of supply in the area considering the age profile of the local population
Economic Value Added	– How the investment contributes to economic value added – Sector specific estimates of value added	The economic value added is likely to be limited from this investment
Infrastructure Priorities	– Investment consistent with Government priorities for infrastructure development – Consultation with other Gov. Departments	Investment is consistent with DoH guidelines on broad locations of NHs. There does not appear to be an existing facility that will be affected.
Sustainability of Investment	– How long the impacts of the investment are likely to last – Certain infrastructure will have different lifetimes (dangers of obsolescence)	The facility has an expected lifetime of 40 years. It is very unlikely that the services will be provided by alternative means.

Country-by-Country details of comparable schemes

Country	Investment Sum (Minimum)	Residence requirements	Citizenship qualifying period
Australia	Aus \$1.5 million	For citizenship: no more than 365 days total absence over four year period (maximum of 90 days absence in final year)	4 years
Australia	Aus \$5 million	160 days over 4-year period (40 days p.a.).	4 years
Canada (Quebec)	Can \$800,000	275 days over 5-year period (55 days p.a.)	5 years
New Zealand	NZ \$1.5 million	146 days in NZ in each of the last 3 years of a 4 year investment period	5 years
New Zealand	NZ \$10 million	44 days in NZ in each of the last 2 years of a 3 year investment period	5 years
Netherlands	€1.25 million	Four months within a 12-month period	5 years
US	US \$500,000	60 per cent of each year (219 days p.a.)	5 years
US	US \$1 million	60 per cent of each year (219 days p.a.)	5 years
UK	£2 million	185 Days p.a	5 years
UK	£5 million	185 Days p.a	3 years
UK	£10 million	185 Days p.a	2 years
Portugal	€0.5 million (Real Estate)	7 days in first year, 14 days for each subsequent year.	6 years (Permanent Residency after 5 years)
Portugal	€1 million (Capital Investment)	7 days in first year, 14 days for each subsequent year.	6 years (Permanent Residency after 5 years)
Malta	€1.15 million	N/A	Citizenship after 12 months residency (however, actual residence after an initial visit is not required and can be fulfilled by buying/leasing a property and fulfilling other criteria.
Cyprus	€0.3 million (Permanent Residency)	Requires just one visit to Cyprus by all family members once every two years	N/A
Cyprus	€2 million (EU Citizenship)	N/A	Immediate
France	€10 million for a 10 year (economic residency permit)	183 Days p.a	The opportunity to obtain citizenship after 3 years of permanent residency in France

Authorised representative questionnaire for IIP

1. How many applicants on behalf of different beneficiaries did you apply to the Immigrant Investor Program for,
How many were successful?
How many dropouts were there?
2. Among your applications, what was the % of each investment option applied for?
 - (a) Immigrant Investor Bond %
 - (b) Enterprise investment %
 - (c) Investment Funds %
 - (d) Real Estate Investment Trusts %
 - (e) Mixed investment %
 - (f) Endowment %
3. Where / how did you hear of program?
4. Overall, were you satisfied with the how the Immigrant Investor Program is structured?
 - ☐ Strongly Disagree
 - ☐ Somewhat Disagree
 - ☐ Neither Agree nor Disagree
 - ☐ Somewhat Agree
 - ☐ Strongly Agree
5. Without the IIP, how likely do you think would the investment have occurred?
 - ☐ Very unlikely
 - ☐ Unlikely
 - ☐ Neither Likely nor unlikely
 - ☐ Likely
 - ☐ Very Likely
6. What are the key benefits of the IIP to your clients? Please provide as much detail as possible
7. Compared to your impressions of the Immigrant Investor Program before partaking, what is the likelihood of re applying for another Immigrant Investor Program?
 - ☐ Better, based on performance
 - ☐ About the same
 - ☐ Worse, based on performance
8. How likely is it that you would recommend this Immigrant Investor Program to other potential applicants?
 - ☐ Unlikely
 - ☐ Likely
 - ☐ Very Likely
9. Overall, how satisfied are you with the amount of contact between you/your organization and the Immigrant Investor Program?
 - ☐ Very satisfied
 - ☐ Satisfied
 - ☐ Neutral
 - ☐ Dissatisfied
 - ☐ Very dissatisfied
10. What changes would most improve the Immigrant Investor Program?